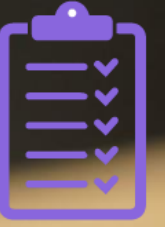


Module 1

Key concepts of digital product and
service management

Syllabus



1.1 Product and service management

- 1.1.1 Define digital product and service management (3.1, Glossary)
- 1.1.2 Define product and service as a key concept of digital product and service management (3.1.1, Glossary)
- 1.1.3 Define digital product and digital service as a key concept of digital product and service management (3.1.2)
- 1.1.5 Define the ITIL Product and Service Lifecycle as a key concept of digital product and service management (4.1)
- 1.1.6 Define goods (3.1.2, Glossary)

1.2 Service offering

- 1.2.1 Define service offering (3.1.2)
- 1.2.2 Define service actions, transfer of goods, and access to resources (3.1.2)
- 1.2.3 Explain service offering (3.1.2)
- 1.2.4 Explain service actions, transfer of goods, and access to resources (3.1.2)

1.3 Value co-creation (all Assessment Criteria included)

What you will learn



By the end of this module, you will be able to:

- define digital product and service management and its purpose
- define goods, product, service, digital product, and digital service as key concepts
- define the ITIL Product and Service Lifecycle as a core concept of digital product and service management
- define service offerings and service interactions
- explain how service offerings and service interactions support service consumption
- define value, value co-creation, cost, and risk in service management
- understand the difference between outputs and outcomes.



How digital are our products?



Goods

Tangible resources that are transferred or available for transfer from a service provider to a service consumer, together with ownership and associated rights and responsibilities.

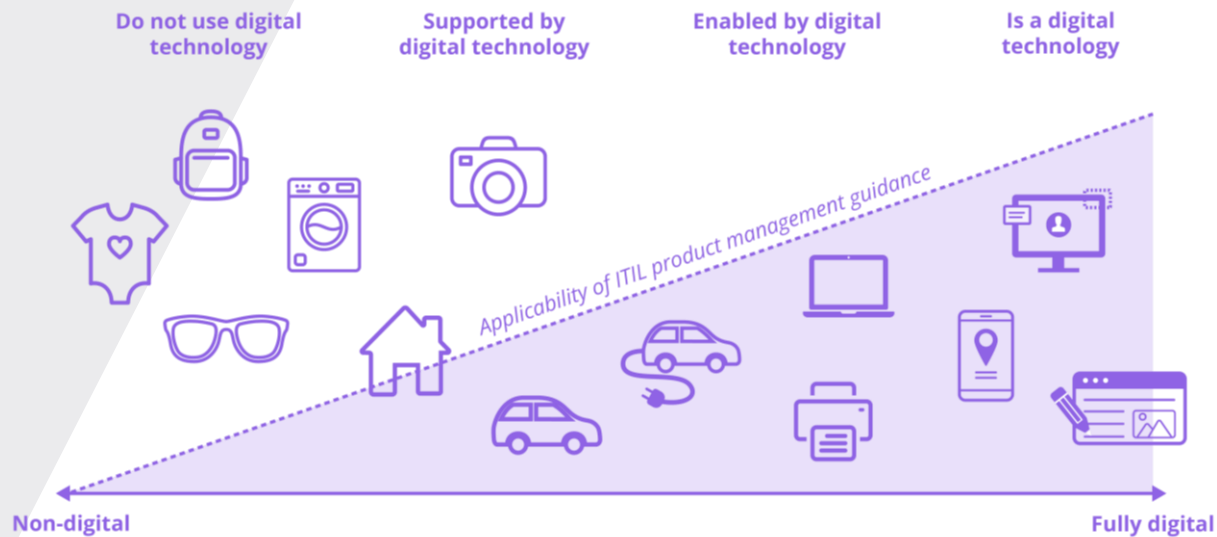


Figure 3.2 Role of digital technology: from non-digital to purely digital products

- Product design and production systems
- Dependency on physical resources and materials
- Dependency on physical delivery
- Impossible to diagnose and fix remotely
- Clear border between production and use
- Transfer of goods is the primary form of value creation
- Digital product and service management
- Digital resources (software and virtual infrastructure)
- Instant digital delivery
- Can be diagnosed, fixed, and improved remotely
- Developed/improved based simultaneously
- Access to services is the main form of value creation

(Digital) product and (digital) service



Product

A configuration of an organization's resources designed to offer value for a consumer.

Service

A means of enabling value co-creation by facilitating outcomes that customers want to achieve, without the customer having to manage specific costs and risks.

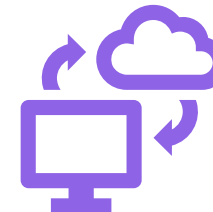


Digital product

A combination of an organization's resources based on digital technology and designed to offer value to consumers.

Digital service

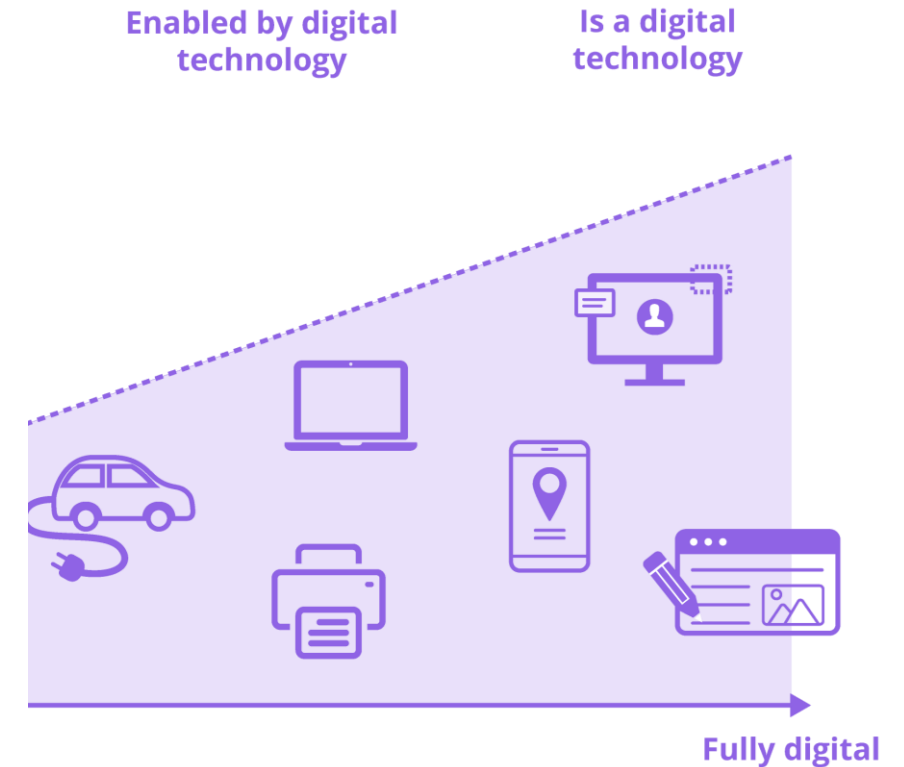
A service that fully or largely relies on digital products.



Relationships between digital products and services

There are several important relationships between digital products and digital services:

- **Digital services** are **always** based on **digital products**. They are core for the value proposition and user experience.
- **Products** provide **capabilities**; **service offerings** describe **potential value**.
- When customers accept offerings, **service delivery and consumption** begins.
- **One product** may enable many **services**, and **one service** may be based on **several products**.



Adapted from Figure 3.2 Role of digital technology: from non-digital to purely digital products

Digital product and service management



Digital product and service management

A set of specialized organizational capabilities for enabling value for customers in the form of digital products and services.



Service offerings



Service offering

A formal description of one or more services designed to address the needs of a target consumer group. A service offering may include goods, access to resources, and service actions.

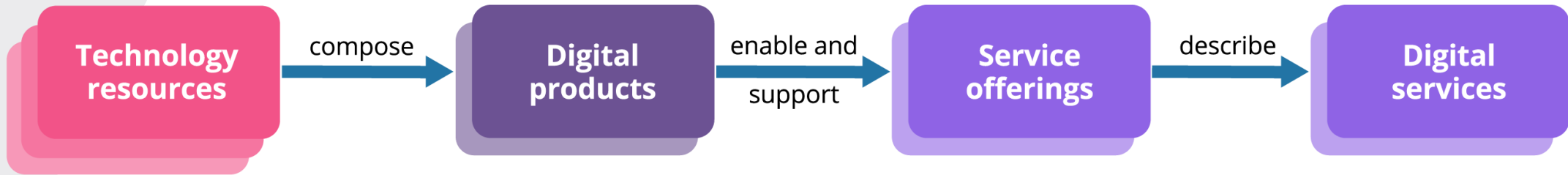


Figure 3.3 Relationships between technology resources, digital products, service offerings, and digital services

What is a service offering

Service offerings may include:

Transfer of goods

- **Transferred** from service provider to service consumer.
- Rare in digital services.
- Service providers aim to minimize the need to transfer goods.

Examples: transfer of equipment or consumables.

Service actions

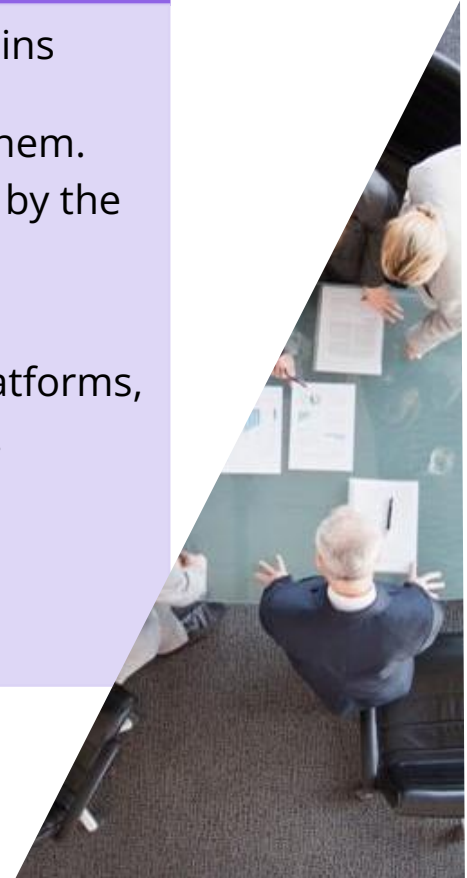
- **Service actions** are performed by the service provider or by the service provider and service consumer.
- **Service request fulfilment** is a common form of service action.
- Digital service providers aim to reduce the need for service action.

Examples: delivery of goods, user trainings, consultations.

Access to resources

- **Service consumer** gains **access** to provider's **resources** and uses them.
- Resources are owned by the service provider.

Examples: hotel rooms, vehicles, applications, platforms, networks, cloud services.



The ITIL Product and Service Lifecycle (1/2)

User and customer experience rely on the quality of digital products and the service provider's management system. To deliver high-quality services, organizations must:

- capture and process customer's needs, requirements, and feedback
- discover needs and opportunities, and design digital products and services
- acquire necessary resources and build digital products
- deliver and support digital services.

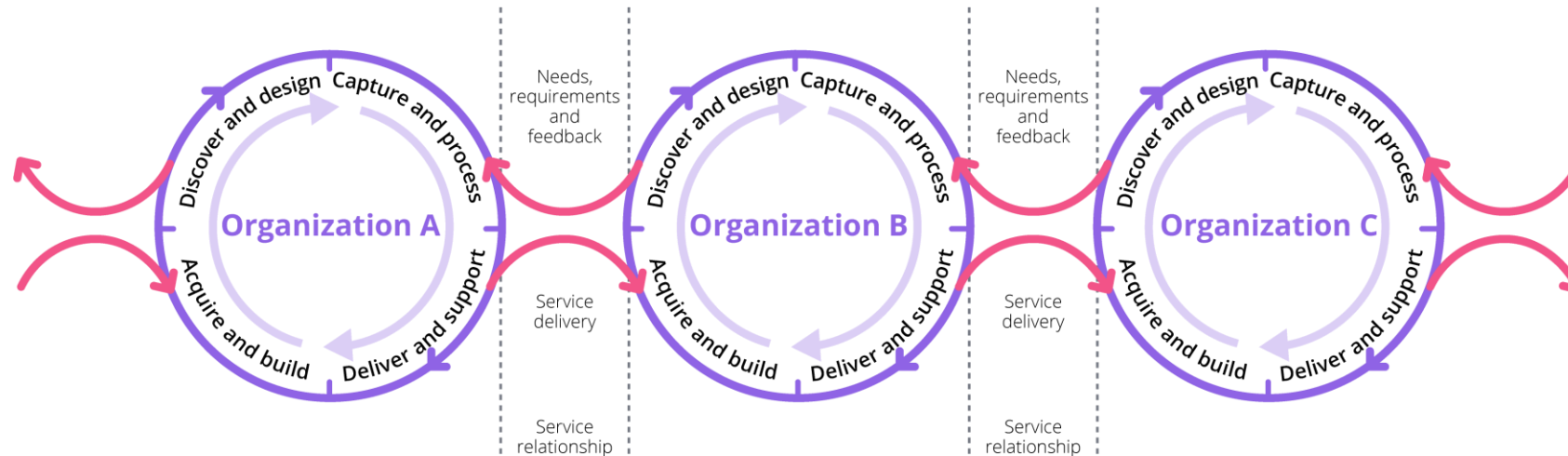


Figure 1.5 The ITIL Service Relationship Model

The ITIL Product and Service Lifecycle (2/2)

The **Product and Service Lifecycle Model** includes eight lifecycle stages. To manage digital products and services throughout their shared lifecycle, organizations perform eight lifecycle management activities of the same name:

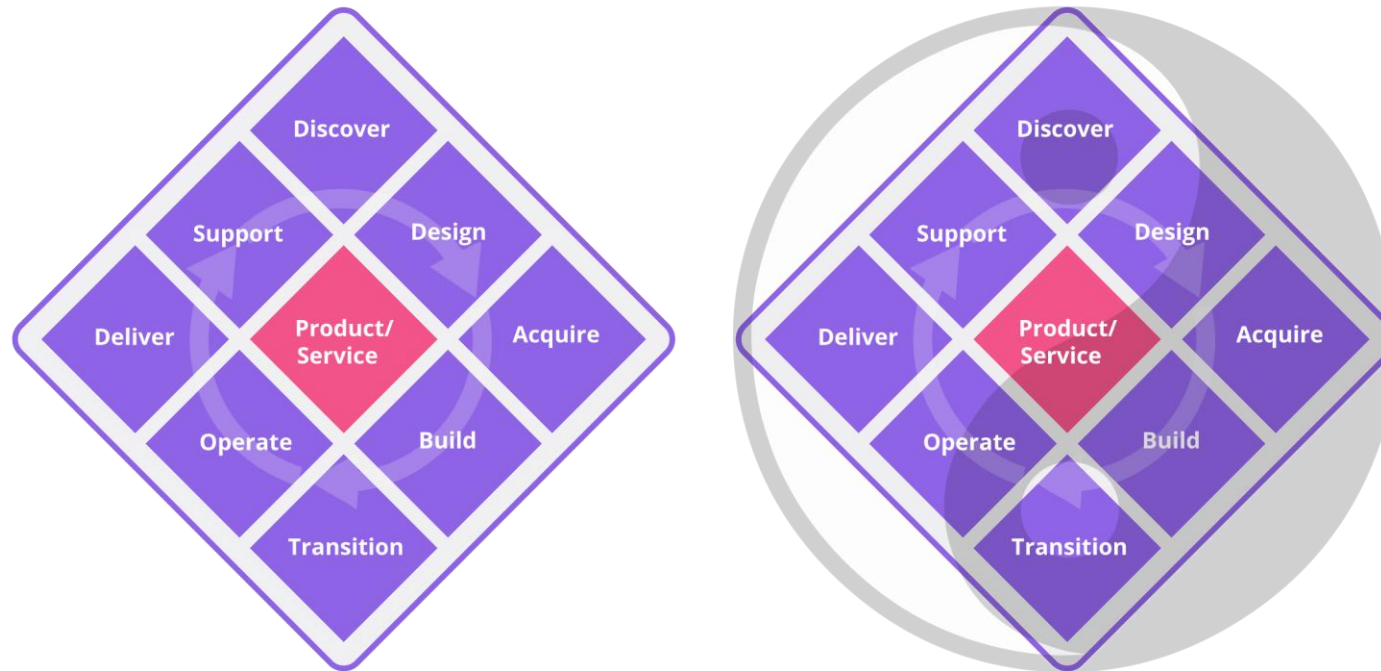


Figure 4.1 The ITIL Product and Service Lifecycle Model | Duality

Output and outcome

Understanding value co-creation requires distinguishing outputs from outcomes.



Output

A tangible or intangible deliverable of an activity.

Outcome

A result for a stakeholder enabled by one or more outputs.

Service providers produce outputs that help their consumers achieve certain outcomes.



ITIL Car Rental | Outcomes



Max: At ITIL Car Rental, an output might be the customer arriving at their destination. The outcomes vary for different stakeholders. For our customers, it is flexibility and comfort of city transportation at affordable prices. For the cities, it is fewer cars on the road, cleaner air, and a potential reduction in traffic accidents. We design our services with different stakeholders and outcomes in mind.

Value, outcomes, costs, and risks

- **Services** can introduce **new costs and risks**, and in some cases, they can **negatively affect** certain intended **outcomes** while supporting others.
- **Services** are perceived as valuable only when they have **more positive** effects **than negative** ones.

Achieving value: outcomes, costs, and risks

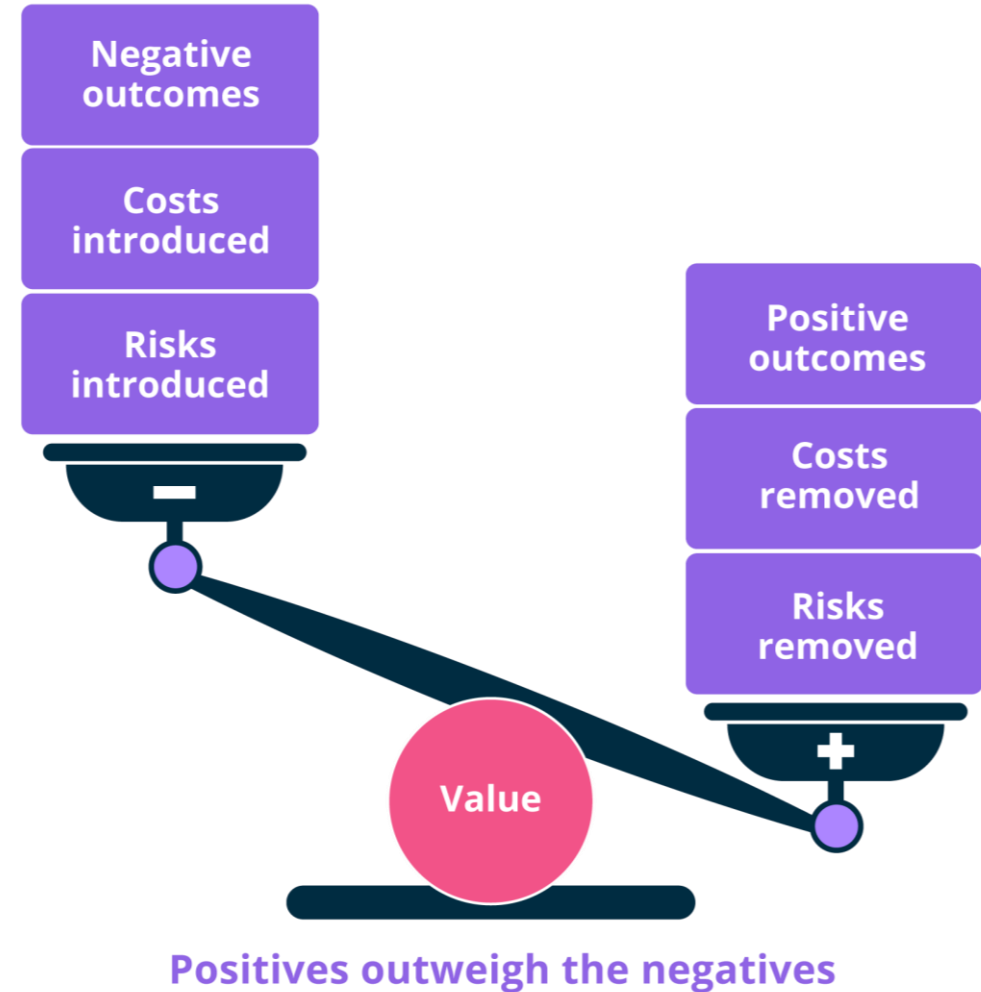


Figure 3.1 Achieving value: outcomes, costs, and risks

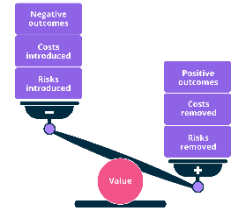
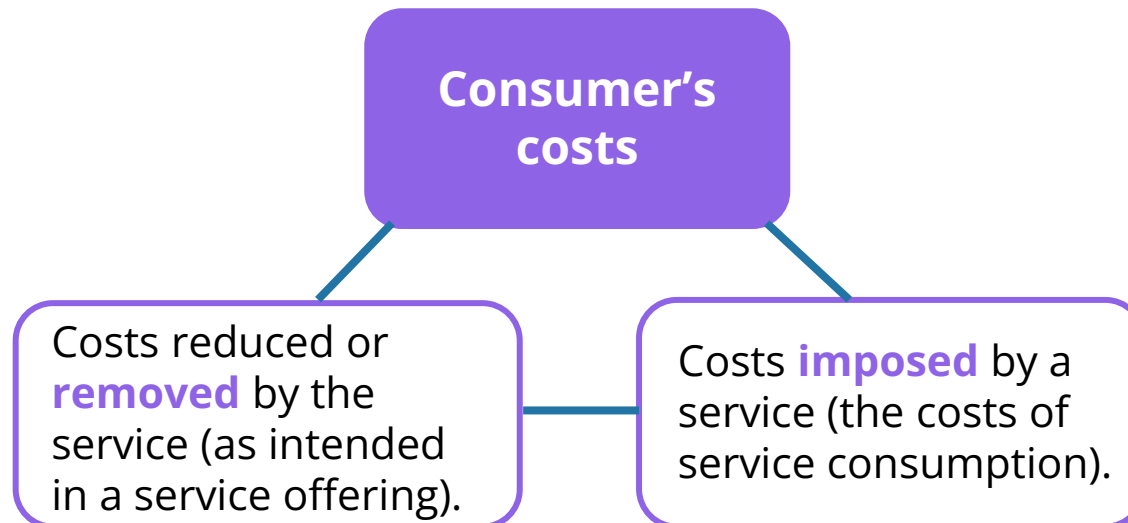
Cost



Cost

The amount of money spent on a specific activity, resource, product or service.

From the service consumer's perspective, there are **two groups** of cost involved in service relationships:



Risk



Risk

A possible **event** that could cause harm or loss or make it more difficult to achieve objectives.

As with costs, there are two types of risk that are of concern to service consumers:

Service consumer risks



Reduced/fully removed by the service (value proposition).



Imposed by the service (risks of service consumption).



RISK

ITIL Car Rental | Risks



Maria: When using our driverless cars, customers delegate to us all risks related to road safety. We take responsibility for ensuring an accident-free journey and guarantee that all our vehicles are road-worthy. At the same time, in the unlikely event of a software error or cyber-security incident, the customer's journey could be affected. Such risks would not typically arise if the customer was driving their own car or using a traditional taxi service.



Max: In cities with high tourist traffic, there has always been demand for car rental services. However, lately, many residents of large cities, especially young people, prefer 'car-as-a-service' models, such as taxis or car sharing, even for regular short trips, instead of owning a private vehicle. This choice is not only more economical but also more environmentally responsible, helping to reduce emissions and overall traffic congestion in the city. At the same time, it offers flexibility and comfort not available in public transport.

At ITIL Car Rental, we provide a variety of services: car-sharing, car rental, and our brand-new service, driverless cars. Our service helps customers achieve mobility without the extra costs related to owning a car. But for our services to be truly valuable, we must consider not just the convenience we provide, but also how we manage costs and risks for our customers. That is the true essence of service value.

Value



Value

The perceived benefits, usefulness, and importance of something.

Service value

The perceived benefits, usefulness, and importance of a service.

Value co-creation

The collaborative process by which service providers, consumers, and other stakeholders jointly create value through the use of products and services, by combining resources, capabilities, and actions across the service relationship to achieve desired outcomes.

Value is the **foundation** of product and service management, and every service relationship is built around the idea of creating and delivering value.

Achieving outcomes requires **resources** and involves **risks** in co-creation. Service providers help their consumers to achieve outcomes in doing so, take on some of these costs and risks.

